

PREPARING FOR 24X7 OPERATIONS

Managing Liquidity in an Instant Payments World

Because the FedNow Service processes and settles payments individually and continuously on a 24x7x365 basis, participating financial institutions (FIs) need adequate funds or available credit (liquidity) in their accounts at all times.

The FedNow Service enables FIs to transfer funds to each other to support instant payment liquidity needs. The Federal Reserve Banks anticipate implementing specific controls for liquidity transfers.

This section covers key information about liquidity management transfers including:

- **Liquidity expectations**
- **How liquidity management transfers work**
- **Controls for liquidity management transfers**
- **Configuring liquidity management transfer capabilities**
- **Other considerations for managing liquidity**

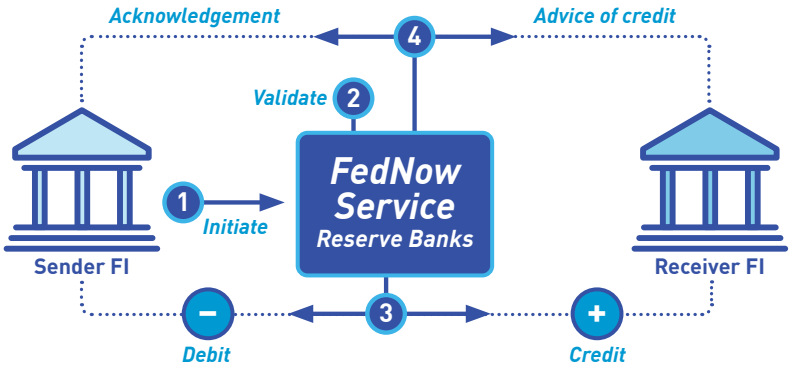
Liquidity Expectations

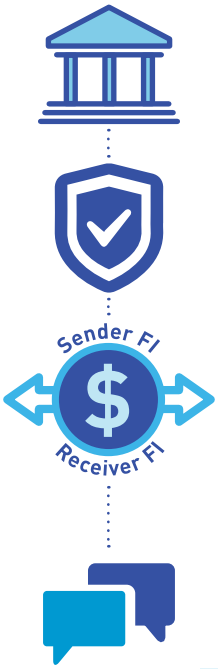
There are a few key points to keep in mind when thinking about liquidity management and the FedNow Service:

- FedNow participants or their correspondents are expected to maintain balances in their master accounts to settle FedNow transactions, consistent with the Federal Reserve's Policy on Payment System Risk.
- The Federal Reserve Banks do not intend to open the Discount Window outside of standard hours. During its business day, the Federal Reserve Banks provide intra-day credit to FedNow participants under the same terms and conditions as its other services.

How FedNow Liquidity Management Transfers Work

The following is a step-by-step look at how FIs transfer liquidity to one another using FedNow liquidity management transfers (LMT).





Step 1: The Sender FI initiates a liquidity transfer through a FedLine® Solutions channel and sends a payment message (ISO® message pacs.009) to the FedNow Service.

Step 2: The FedNow Service validates the payment message — for example, by verifying the message meets format specifications.

Step 3: The FedNow Service debits and credits the designated master accounts of the Sender and Receiver FIs. **Note:** The FedNow Service does not seek confirmation from the Receiver FI — as it does with customer credit transfers — before settling the liquidity management transfers and delivering an advice of credit to the Receiver FI. For FIs using a correspondent for settlement, the debit or credit settles in the correspondent's master account.

Step 4: The FedNow Service sends an advice of credit to the Receiver FI and sends an acknowledgement to notify the Sender FI that the settlement is complete.

Liquidity management transfers are subject to the same 20-second (or less) payment timeout clock as standard customer transfers received by the FedNow Service. For more information on how the payment timeout process works, refer to the **Understanding the Payment Timeout Clock** topic.

FedNow Service Controls on Liquidity Management Transfers

The Federal Reserve has specific controls for liquidity management transfers (pacs.009), such as:

- **Hours of availability:** 24x7 operations.
- **Maximum transaction value limit:** LMT maximum transaction value limit is available in the Operating Procedures. Financial institutions can set their send limit lower if preferred.

FedNow participants can route liquidity transfers using master account/primary routing transit numbers (RTNs), subaccount RTNs or other secondary RTNs, as long as they are enabled in the FedNow Service.

FedNow participants can disable sending or receiving liquidity transfers within the customer profile. The FedNow Service rejects liquidity transfers that include either a Sender FI or Receiver FI who is disabled for the service.

Configuring FedNow Liquidity Management Transfer Capabilities

FedNow participants that are set up to send or receive customer payments (ISO messages pacs.008 and pacs.004) are automatically enabled to send and receive liquidity management transfers (pacs.009). If they wish, participants can opt out of either sending or receiving liquidity management transfers.

FIs are also able to choose to participate in the FedNow Service for the sole purpose of supporting FedNow liquidity management transfers. For example, FIs are able to separately enable and transfer funds to support certain payment system interbank liquidity needs as a stand-alone service without enabling other capabilities within the FedNow Service.

Please refer to the **Participation Types** topic to learn more about these participant configuration options. For more information about liquidity management, please refer to the **Guide to Liquidity Management Transfers**.



Supporting Correspondents/Respondents

A FedNow participant that uses a correspondent to settle FedNow activity is allowed to receive liquidity transfers. In this case, liquidity management transfer messages (pacs.009) are posted to the designated correspondent's master account. Establishing net send limits for each respondent may help correspondents manage liquidity respective to FedNow activity.



Supporting Participants in Other Instant Payment Services Backed by a Joint Account

FIs who participate in a private-sector instant payment service backed by a joint account maintained by the Federal Reserve Banks can use the FedNow Service for sending and receiving transfers to and from a master account and the joint account.

The joint account agent needs to enable the liquidity management transfers feature of the FedNow Service to send, receive and settle liquidity management transfer messages sent through the FedNow Service.

FIs in the private-sector service need to enable their master accounts to send and receive FedNow liquidity management transfers in the FedNow profile.

This guide may and is likely to change from time to time, including as the Federal Reserve Banks obtain feedback from various stakeholders. The Readiness Guide is not an agreement with the Federal Reserve Banks and is not necessarily reflective of the final terms, operating procedures or other documentation for the FedNow Service.

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